

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-09

Impact Products, LLC and Safety Zone, LLC v. COSCO Shipping Lines Co. Ltd.

MOTION TO DISMISS

Respondent COSCO Shipping Lines Co. Ltd (“Respondent” or “COSCO”) hereby move pursuant to 46 C.F.R. 502.61(b)(1), 46 C.F.R. 502.69(g), and 46 C.F.R.502.70 that the above-captioned Complaint be dismissed insofar as it seeks reparations. As detailed below, the basis of this motion is the “direct purchaser” rule, which the Federal Maritime Commission has followed unerringly for 90 years. Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”) (collectively “Complainants”), are, by their own admission, only indirect purchasers at best, so lack standing to pursue reparations. This is a dispositive motion subject to FMC Rules 69(g) and 70. 46 C.F.R. §§ 502.69(g) and 502.70.

MEMORANDUM IN SUPPORT OF MOTION TO DISMISS

PROCEDURAL BACKGROUND

The complaint in this matter (“Complaint”) was served by the Commission on February 14, 2024. It asserts that Respondents violated specified provisions of the Shipping Act and as relevant here, seeks reparations for alleged injury from the claimed violations. Although the

Complaint contradicts itself as to the nature of the alleged injury,¹ the claim for reparations indisputably rests on a challenge to certain charges allegedly (but not actually) imposed on the Complainants by COSCO. It is thus by its very nature a claim to recover alleged overcharges.

ARGUMENT

I. Only “Direct Purchasers” Of Transportation Services May Seek Reparations

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only those that suffer "actual injury" as a result of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b). Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, only the entities that purchased the relevant services directly from the ocean common carrier (“direct purchasers”) have suffered the "actual injury" that confers standing to seek reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002). As the Commission explained in *OCEMA*:

“For the past 90 years, the Commission and its predecessor agencies² have followed Supreme Court precedent in applying what has become known as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule deems the person that paid

¹ The Complaint alleges that COSCO violated the Shipping Act by imposing certain charges [see Allegations 27, 48], then, in addressing causation, [Allegation 50] inexplicably asserts injury by reason of matters totally unrelated to the charges – i.e., failure to perform under a non-existent service contract. We assume that Allegation 50 was mistakenly copied from a different complaint filed by the same law firm in another matter, so won’t press the question of counsel’s compliance with FMC Rule 6(a). 46 C.F.R. 502.6(a).

² For purposes of clarity, we refer to both the current Commission and its predecessors as “FMC.”

illegal overcharges (or directly sustained them) as *the only person* ‘directly damaged,’ regardless of what may have occurred later.” 2024 WL 641501, at *44

Likewise, in *TCW* the Commission stated, citing to *In re Vehicle Carrier Services and Gov't of Guam v. Sea Land*:

“Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain. . . . Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” 2022 WL 18068977, at *7

The Commission's application of the "direct purchaser" standing rule has roots over a century old. In *Southern Pacific Co v. Damell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission, the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. This rule was imported into the Shipping Act in 1934. *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934). There, the FMC held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on *Southern Pacific* in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was the person directly damaged by the collection ...

of the illegal rates[.]" Id. at 310-11.³ The direct purchaser rule applies even where the complainant is an affiliate or parent of the entity that actually paid the carrier.⁴

The Commission's "direct purchaser" rule is similar to that applied by the United States federal courts with respect to the federal antitrust laws. As the Commission recently stated: "The Commission's rule is consistent with the Supreme Court's direct purchaser rule developed in *Illinois Brick v. Illinois*, 421 U.S. 720 (1977)." *TCW*, 2022 WL 18068977, at *8.

II. Complainants Are Not Direct Purchasers

Nothing in the Complaint alleges that either Complainant paid COSCO directly for any of the disputed charges. To the contrary, it clearly indicates that they did not.

Allegation 12 of the Complaint alleges that COSCO was paid by a non-vessel-operating common carrier ("NVOCC") named Laufer Group International ("Laufer"), with which COSCO

³ Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges ... is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." To like effect, see, e.g., *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

⁴ See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417,419 n.2 (FMC 1995) (holding that "the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim"); *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of "direct purchaser" shipper was ineligible to file claim for reparations because subsidiary, not parent, "paid the applicable charges and suffered any injury that might have resulted therefrom").

had a service contract, and that Impact Products and Safety Zone⁵ then paid Laufer. It is thus clear from the Complaint itself that Laufer was the direct purchaser. Complainants try to obscure that indisputable fact by referring to Laufer as a “conduit,” but that is exactly what a “direct purchaser” is, both under the FMC case law cited above and under the antitrust laws. As the FMC made abundantly clear in *In Re Vehicle Carriers*, a complainant cannot attain standing for reparations based on the assertion that it paid the charge to the direct purchaser, as for example a consignee may do:

“[T]he Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges. In numerous decisions, the Commission has ruled that only the party *who actually paid* the carrier (or the valid assignee of the payor) can sue for reparations. *Gov’t. of Guam*, 29 S.R.R. at 902, 908-09, 2002 FMC LEXIS 16 at *58-59 (striking consignee’s reparations claim because it was not the direct payor or assignee); *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ 1979) (denying consignee’s claim for overcharges allegedly passed along to it); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 575 (ALJ 1977).

Even in applying the direct purchaser rule, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did. *Gov’t. of Guam*, 29 S.R.R. at 908- 09, 2002 FMC LEXIS at *36-42. Incomplete records, ***mere allegations, or general business practices or relationships are not sufficient proof.*** See *id.* Consistent with the direct purchaser rule, the Commission’s regulations require reparation statements to identify ‘the person paying charges in the first instance.’ 46 C.F.R. § 502.252 Ex. No. 1.”

1 FMC 2d at 446.

Complainant’s reference to Laufer as a freight forwarder is equally unavailing. Laufer could not have been acting as an Ocean Freight Forwarder, as defined by the Shipping Act and

⁵ The Complaint conflates the two Complainants with their mutual parent. But as shown above, that is improper, for only the entity that actually paid a challenged charge may seek reparations relating to that charge.

FMC regulations, because by definition OFFs operate only in the *export* trades.⁶ The Complaint, however, makes abundantly clear that the shipments for which charges were allegedly assessed are all *import* cargo. See, e.g., Allegations 3, 19, 21, 22. Accordingly, Laufer was in fact acting as an NVOCC, for which it is duly licensed by the FMC (Organization Number 020617), as confirmed by the House Bills of Lading that Laufer issued to Complainants.

An NVOCC is by definition a common carrier that acts as a carrier vis-à-vis the underlying shipper and as a shipper vis-à-vis the ocean common carriers. See, e.g., 46 C.F.R. 515.2(m)(2). Thus, COSCO necessarily assessed any charges relating to detention, demurrage, or storage, to its shipper (under the service contract and bill of lading), namely Laufer, not to Impact Products or to Safety Zone. Any assessment that may have been made to Impact Products or Safety Zone would have been made by Laufer, not by COSCO. COSCO of course knows nothing about what Laufer may or may not have invoiced to its shippers, Impact Products or Safety Zone.

CONCLUSION

For the foregoing reasons, the Presiding Officer should dismiss the Complaint insofar as it seeks reparations.

DATED: March 11, 2024

Respectfully submitted,

⁶ See, e.g. 46 C.F.R. 515.2(m)(1) (“Ocean freight forwarder (*OFF*) means a person that— (i) In the United States, *dispatches shipments from the United States* via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers)(emphasis added).

/s/ *Nicholas Webb*

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CERTIFICATE OF SERVICE

I certify that on the 11th day of March, 2024, a true and correct copy of the foregoing **MOTION TO DISMISS** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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